

BUILD-A-BEAR WORKSHOP INC BBW

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by

thecoyelf

			2026	2027
Price:	39.37	EPS	0	0
Shares Out. (in M):	13	P/E	0	0
Market Cap (in \$M):	500	P/FCF	0	0
Net Debt (in \$M):	-25	EBIT	0	0
TEV (in \$M):	475	TEV/EBIT	0	0

Description

Summary

Build-A-Bear Workshop (ticker: BBW) is an experiential retailer best known for selling customized stuffed animals through a network of mall-based locations. HiddenInSight wrote up the idea at ~\$37 in late 2024 and closed out the recommendation in September 2025 at ~\$75 (roughly a double in under a year). Since then, the stock has struggled for multiple reasons:

1. Growth has decelerated, raising concerns Build-A-Bear (BAB) is still just a legacy mall retailer, not an IP/brand focused licensing business.
2. Margins decreased as tariffs were introduced (main manufacturing locations are China and Vietnam)
3. Management lowered guidance for FY26 due to a 5% y/y decline in Q1 retail revenue (foot traffic down ~7% y/y).

These concerns are valid, but the current valuation prices BAB as a failing mall retailer (<6x EV/Ebitda) and ignores the high-quality characteristics of their business model and shareholder friendly capital allocation. We think the business will continue to grow earnings via their commercial/wholesale channel, and their core retail business will return to growth over time. We forecast ~\$95-100 million in Ebitda in FY30 and a 15-20% IRR over the next few years.

Background

BAB operates 669 global experience locations, including 376 corporately managed stores, 181 partner-operated locations and 112 international franchise stores.^[1] Founded in 1997, the original concept was an interactive experience where customers select and customize their own stuffed animals. The experience is niche but difficult to replicate due to BAB's aggressive enforcement of their IP.^[2] The stuffed animal itself is only part of the product; BAB effectively sells an interactive family-friendly activity in the form of a stuffed animal.

Historically, Build-A-Bear has been treated as a traditional mall retailer. This perception was understandable; the company expanded too aggressively during the 2000s, suffered badly during the financial crisis, and encountered profitability challenges during the mid-2010s. Former CEO Sharon Price John (retired in 2026) spent more than a decade restructuring the business by closing underperforming stores, expanding merchandising, renegotiating leases, and moving beyond traditional mall locations. The playbook worked. FY25 saw the fifth consecutive year of record revenue and EBITDA was ~\$81 million despite ~\$11 million of tariff-related expense. Additionally, over the past five years BAB has returned ~\$170 million to shareholders through buybacks and dividends (>30% of the current market cap).

BAB trades at ~5.75x FY26 consensus Ebitda. We think the stock is attractive on a risk-adjusted basis because of the following three key points:

1. High-quality core business
2. Store growth via capital light business model
3. Shareholder friendly capital allocation

Thesis

High-Quality Core Business

While BAB's core business is predominantly still mall based, BAB is different than a legacy mall-based retailer. First, they are a destination with ~80% of store visits pre-planned^[3] (e.g., birthday parties). This has created leverage for BAB as mall foot traffic has declined; they have used this leverage to negotiate more favorable lease terms. ~90% of leases were renegotiated during the pandemic; BAB stores are also relatively small (~2,000 sqft), so a small concession from the mall owner can drive extra foot traffic they otherwise might not get. Management now reports that 100% of their retail stores are profitable.^[4]

Next, the product is relatively affordable, ~\$50 depending on the add-ons, and the experience is evergreen. An interactive family activity creates lasting memories and is unlikely to go out of style anytime soon; the niche is also well protected due to BAB's enforcement of their IP. This isn't a fad type product. While BAB has struggled during past recessions, we believe they will hold up better than history would suggest due to their more flexible leases, the occasion-based nature of the offerings, and their new business model (more on this in the next section).

Lastly, the business structurally creates repeat customers who are likely to return. A birthday visit is likely to lead to multiple future purchases which help create recurring revenue streams and increase the lifetime value of the customer. This is a higher quality business than your average retailer.

Partner-Operated Business Model

The most important structural change at BAB remains the expansion of partner-operated locations. Under their traditional model, BAB leases real estate, hires employees, funds inventory, and earns revenue based on the store's performance. The partner-operated model uses a third party to operate and fund the location's

buildout, while Build-A-Bear generates cash flow by supplying merchandise and providing the branded concept at wholesale prices. Partners include businesses such as resorts, cruise ships and other family-oriented destinations, but also include international toy store operators such as Preziosi and Intersource (both European-based). This business model creates several advantages. First, it is capital light as BAB doesn't have to invest capital building out stores; a partner invests the upfront cash and takes on this risk.

Next, the model gives BAB access to attractive locations where a standalone corporate store might not be possible or make economic sense. Instead, BAB inserts their brand into an environment where families are already seeking entertainment and discretionary experiences. For example, Carnival Cruise Lines has a Build-A-Bear store on the majority of their ships. This expands the BAB's TAM and also allows Carnival to offer value to customers while maintaining control of the operations. In the case of international partners, they outsource to local operators that have the expertise in their geographic regions, reducing execution risk for BAB.

The drawback to this business model is the revenue generated from a commercial partner is only ~20% of what a company-operated store earns, but the Ebitda margins are ~50% for the Commercial segment vs ~25% for the core Direct-to-Consumer segment (while not disclosed it is our understanding that third-party operated stores are smaller on a sqft basis, so this comparison isn't perfect).

However, the wholesale business model reduces the operational risk, requires very little capex, and allows BAB to be in locations that would have otherwise been inaccessible with the old model. Management continues to guide to at least 20% Commercial revenue growth in FY26, offsetting potential short-term weakness in the core business. We expect consolidated margins to expand over time as the Commercial segments becomes a larger part of BAB's revenue mix.

Capital Allocation

Management has consistently returned capital via dividends and buybacks. Since 2022, management has returned ~\$115 million via buybacks (~4.2 million shares at ~\$27 a share) and ~\$48 million via dividends. Sharon Price John recently retired after over a decade in the role, but Chris Hurt, an internal hire (been with BAB since 2015) should continue the model of aggressively returning capital. With the current valuation we believe the buybacks are extremely accretive to current shareholders.

Valuation

Assumptions through FY30:

Revenue

We're forecasting flat revenue growth for the DTC segment. E-commerce revenue continues to see pressure from "Google-driven AI search changes" but this headwind stabilizes and a small number of new corporately managed stores helps keep revenue flat. Commercial revenue continues to grow but at a decelerating rate as the base scales. Management is guiding to at least 20% growth in FY 26 but if assume ~10% for FY27-FY30. Franchise revenue we're assuming ~5% growth.

Ebitda

Ebitda margins have some noise with tariffs in FY25 and refunds in FY26. We're projecting an increase in Ebitda margins to ~17.5% (120bps expansion on FY25) by FY30 as the Commercial segment becomes a larger part of the mix.

Capital Allocation

FCF from the above base case scenario would be ~\$200-225 million. Assuming ~\$12 million a year in dividends and ~\$150 million in buybacks (~\$55-60 a share), outstanding shares in FY30 will be ~10 million.

FY30 Est.		Enterprise Value	
Revenue (\$ in mn)	560	EV/Ebitda multiple	7.0x
Ebitda Margin	17.5%	Ebitda (\$ in mn)	98
Ebitda (\$ in mn)	98	EV (\$ in mn)	686
Capex (\$ in mn)	(28)	Net Debt (\$ in mn)	(50)
Net Interest (\$ in mn)	-	Equity (\$ in mn)	736
Other* (\$ in mn)	(20)	Share Price	\$ 73.6
Free Cash flow (\$ in mn)	50	FCF/EV Yield	7%
*Includes cash taxes, WC movements, and other cash items		IRR - thru FY30	18%

Using a 7x EV/Ebitda multiple, which we think is appropriate given the quality of the business, this leads to ~\$75 stock price in FY30 and an IRR of ~18%. If you use a 6x exit multiple the IRR is ~14% (holding all other assumptions constant).

Simply put, if BAB's retail business is stable over the next few years and the Commercial segment grows as expected, this should produce an attractive return.

Risks

Core Business Deteriorates

The biggest risk to this thesis is that the core business is structurally in decline, and a strong consumer and pandemic bump has hidden this temporarily. We believe a short-term deceleration of the business is more than priced into the stock price and a return to growth would occur over the long term due to the quality of the business (evergreen offering).

Uneconomic IP Investments

Management has been successfully licensing the concept IP of a Build-A-Bear store, but they also make investments in media/toy IP such as *Glisten and the Merry Mission* Christmas movie in 2023 and more recently the *KABU* animated series on YouTube. These investments have been relatively small so far, but an increase in IP investment would increase the risk.

Birth Rate

A longer-term risk is the lower birth rate, creating a headwind over the long-term. We do think this is potentially offset by adults who grew up with BAB (1990s/2000s kids) now bringing their kids back to the store they visited.

Management Transition

The CEO transition creates a risk that the shareholder friendly capital allocation policies of the last decade change in some way. Given Mr. Hurt is an internal hire we view this risk as limited, but his actions will need to be monitored.

Summary

The simplest way to summarize our thesis on Build-A-Bear is a flat core business with decelerating Commercial segment growth leads to an attractive outcome given the current trading multiple. Management appears set to continue returning capital aggressively which will help push the stock higher over the medium term (buybacks). There are risks but we believe we are getting great odds.

[1] <https://buildabear.gcs-web.com/news-releases/news-release-details/build-bear-workshop-reports-first-quarter-fiscal-2026-results/>

[2] <https://www.heraldtribune.com/story/news/2006/11/25/teddy-bear-entrepreneurs-run-into-a-competitor-with-claws/28513894007/?gnt-cfr=1&gca-cat=p&gca-uir=false&gca-epti=z114712u115611e008000v114712&gca-ft=220&gca-ds=sophi>

[3] <https://ir.buildabear.com/static-files/763385f6-7fc6-4897-b608-43c573919edd>

[4] Q1 2026 earnings call

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Buybacks

Commercial segment growth

Messages

Subject Timing
Entry 08/27/2026 11:54 AM
Member templargin

Probably should have waited until today to post :)

Thesis largely the same, price is not.

Subject Re: Timing
Entry 08/27/2026 12:15 PM
Member acm2025

Coyelf: Obviously the price is now extremely attractive. Do the statements about struggles in wholesale cause you to have concerns about your thesis?

Subject Re: Re: Timing
Entry 08/27/2026 09:21 PM
Member thecoyelf

Not a good report but the commercial revenue issues appear mostly to do with the Walmart program, not massive underperformance from the partner operated stores which is the growth driver long-term. We didn't appreciate how large the Walmart benefit was last year, so that's a miss on our side. The bigger issues for us is the retail performance. E-comm down ~15% puts core retail business down ~6-7% on weak foot traffic and poor execution.

We still believe in this thesis long-term, particularly the asset-light partner-operated expansion, but the risk BAB has been overearning the last few years has clearly increased. Stock moves feels like an overreaction but no denying the poor numbers.

Subject Buying today
Entry 08/27/2026 11:53 PM
Member jim211

Inventory line flat I thought was quite important when I looked at the release today - if the business were out of control I would think that is where I would see it. If last year's level is the base for the core business and we don't get the new growth opportunities so much, I think I can learn to live with that at \$30 average cost. I just have to trust that the core business is resilient and it has been for a long time for the reasons argued in the writeup. Zero debt.